



“While it is true that a few companies have experienced a decline in their valuations, it is important to note that there are also several others that have managed to maintain valuations, or even registered an increase”

ANUJ BHARGAVA
MANAGING DIRECTOR,
LIGHTSPEED



“As a patient and long-term investor, I am not worried. Start-up investing is not for those who are impatient. Sometimes it takes four years, sometimes seven years, to hit profitability. We are okay with that”

GAURAV V.K. SINGHVI
CO-FOUNDER,
WEFOUNDER CIRCLE

valuation. If the deal goes through, PharmEasy's valuation would nosedive to around \$500-600 million, from the \$5.6-billion valuation it had received during its previous fundraising round in October 2021. Its other investors have also marked down the company's valuation. For instance, US-based investor Janus Henderson had slashed the company's valuation by half to around \$2.8 billion in its regulatory filings in December last year. Earlier, Neuberger Berman had slashed its valuation in February.

However, Singhvi says the company's valuation mark-downs may be a challenge but its acquisitions, including that of Thyrocare Technologies, have been contributing towards the company becoming profitable.

INDIAN START-UPS, SOURCES tell *BT*, have gone into crisis management mode. They are combating several challenges at present, including lay-offs, corporate governance issues, and a lack of funding, besides their valuations being marked down.

BT shared a questionnaire with several Indian unicorns but none of them had responded till the time of going to press. However, to understand how they are coping with the current crisis, *BT* spoke to many employees across different start-ups at various levels. The most common answer that came forth was that companies are reducing their marketing spending and con-

sumer discounts to conserve cash. Employees of firms such as Ola, OYO, Unacademy, and others told *BT* that there was “panic” at the beginning of the year, but now they are working to sail through.

“There was panic because there was immense pressure from investors to run the business in the right manner. The founders had gone in for risky behaviour, but decided to course correct once they realised there was so much uncertainty around where the next round of money will come from,” says an employee of a food delivery platform, requesting anonymity. Other steps that start-ups have taken after the mark-downs include shutting down unprofitable business lines, hiring chief financial officers to keep a track of expenses, and increasing the pricing of some of their products, among other measures.

An employee working at edtech company Vedantu tells *BT* that the “situation is not very different from what is there in the media. Online numbers have dropped. So we are doing multiple experiments to understand how we can get more students on board.”

A senior official from Unacademy tells *BT* that the company is focussing on operational stability. “Our strategy is not to curb marketing expenses suddenly, but to spend where there is a clear return on investment.”

Sriharsha Majety, Chief Executive Officer and Co-founder at Swiggy, wrote in a blog post in May that the